CHAPTER 2. BUSINESS ENTRY–METHODOLOGY NOTE

I. MOTIVATION

Registered companies benefit from a variety of advantages, including the legal and financial services provided by courts and banks. Their employees enjoy social security protection. Additionally, the economy takes advantage of positive spillovers: where formal entrepreneurship is high, job creation and economic growth also tend to be high.[1] As more businesses formalize, the tax base also expands, enabling the government to spend on productivity-enhancing areas and pursue other social and economic policy goals. However, entrepreneurs often encounter barriers to entry into the formal economy.

There is evidence that higher costs for business start-ups are associated with lower business entry and lower levels of employment and productivity.[2] Cumbersome regulations for business start-ups are associated with high levels of corruption and informality.[3] A simple business start-up process is conducive to formal entrepreneurship.[4] Moreover, digital technology and transparency of information can encourage businesses to register and promote private sector growth.

Digital public services can address the concerns of entrepreneurs by reducing the compliance cost of interacting with government authorities and thus encourage business formalization.[5] In addition, transparent and accurate data on registered businesses are an important building block of a good business environment because they give governments the tools to produce business statistics and design relevant policies and provide market participants with the information to assess their risks and opportunities. Transparency of beneficial ownership helps safeguard the integrity and reputation of the business sector by making it unattractive to those intent on using their corporate structures for illicit purposes.

In this context, the Business Entry topic measures quality of regulations for business entry, the provision of digital public services and transparency of information for business entry, and the operational efficiency of business entry.

II. INDICATORS

The Business Entry topic measures the process of registration and start of operations of new limited liability companies (LLCs) across three different dimensions, referred to as pillars. The first pillar assesses the quality of regulations for business entry, covering de jure features of a regulatory framework that are necessary for the adoption of good practices for business start-ups. The second pillar measures the availability of digital public services and transparency of information for business entry. The third pillar measures the time and cost required to register new domestic and foreign companies. Each pillar is divided into categories—defined by common features that inform the grouping into a particular category—and each category is further divided into subcategories. Each subcategory has several indicators, each of which may, in turn, have several components. Relevant points are assigned to each indicator and subsequently aggregated to obtain the number of points for each subcategory, category, and pillar. Table 1 summarizes all three pillars and their respective categories.

Table 1. Summary Table of all Three Pillars for the Business Entry Topic

Pillar I–Quality of Regulations for Business Entry (31 indicators)	
1.1	**Information and Procedural Standards (19 indicators)**
1.1.1	Company Information Filing Requirements (7 indicators)
1.1.2	Beneficial Ownership Filing Requirements (6 indicators)
1.1.3	Availability of Simplified Registration (4 indicators)
1.1.4	Risk-Based Assessment for Operating Business Licenses (2 indicators)
1.2	**Absence of Restrictions on Registering a Business (12 indicators)**

1.2.1	Domestic Companies (5 indicators)
1.2.2	Foreign Companies (7 indicators)
Pillar II–Digital Public Services and Transparency of Information for Business Entry (24 indicators)	
2.1	**Digital Services (11 indicators)**
2.1.1	Business Start-Up Process (6 indicators)
2.1.2	Storage of Company and Beneficial Ownership Information (3 indicators)
2.1.3	Identity Verification (2 indicators)
2.2	**Interoperability of Services (4 indicators)**
2.2.1	Exchange of Company Information (2 indicators)
2.2.2	Unique Business Identification (2 indicators)
2.3	**Transparency of Online Information (9 indicators)**
2.3.1	Business Incorporation (includes gender) (4 indicators)
2.3.2	Availability of General Company Information (2 indicators)
2.3.3	General and Sex-Disaggregated Company Statistics (3 indicators)
Pillar III–Operational Efficiency of Business Entry (4 indicators)	
3.1	**Domestic Company (2 indicators)**
3.1.1	Time to Complete the Entire Company Entry Process for a Domestic Company (1 indicator)
3.1.2	Cost to Complete the Entire Company Entry Process for a Domestic Company (1 indicator)
3.2	**Foreign Company (2 indicators)**
3.2.1	Time to Complete the Entire Company Entry Process for a Foreign Company (1 indicator)
3.2.2	Cost to Complete the Entire Company Entry Process for a Foreign Company (1 indicator)

1. PILLAR I. QUALITY OF REGULATIONS FOR BUSINESS ENTRY

Table 2 shows the structure for Pillar I, Quality of Regulations for Business Entry. Each of this pillar's categories and subcategories will be discussed in more detail in the order shown in the table.

Table 2. Pillar I–Quality of Regulations for Business Entry

1.1	**Information and Procedural Standards**
1.1.1	Company Information Filing Requirements
1.1.2	Beneficial Ownership Filing Requirements
1.1.3	Availability of Simplified Registration
1.1.4	Risk-Based Assessment for Operating Business Licenses
1.2	**Absence of Restrictions on Registering a Business**
1.2.1	Domestic Companies
1.2.2	Foreign Companies

1.1 Information and Procedural Standards

Category 1.1 is divided into four subcategories consisting of several indicators, each of which may, in turn, have several components.

1.1.1 Company Information Filing Requirements

A safe business environment that enables formal entrepreneurship is critical to unleash the potential of new companies. As such, it is important to assess whether the applicable regulatory framework includes good practices promoting a safe and secure environment for business start-ups at the time of filing and updating company information. Good practices include the registration of company information with safety checks and preventive mechanisms (for example, verification of company name, verification of corporate identity, and/or verification of identity of entrepreneurs). In addition to compliance at the moment of incorporation, it is also important to make the necessary updates in the business registry when changes arise (for example, changes to the company name or shareholders' information) to guarantee the good quality and reliability of the registered information.[6] Therefore, Subcategory 1.1.1–Company Information Filing Requirements comprises seven indicators (table 3).